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2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

31 May 2026 · the qualitative

10x Genomics

$28.11

NASDAQ : TXG · Mature-Company DCF

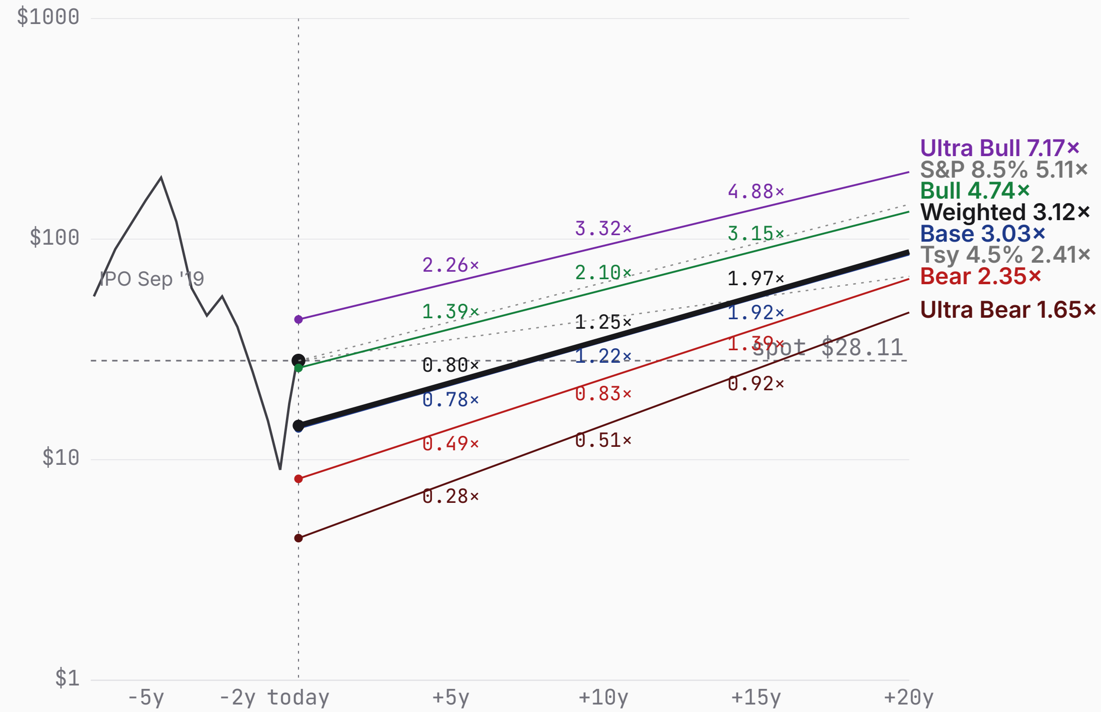
$3.57B mkt cap · 127M sh · $540M cash, zero debt · ~$540M net cash, no debt; ~127M shares (dual-class, founder voting control); Revenue ~$600M, flat-to-declining 3yrs; cash-generative (+$26M op cash Q1'26); ~85% recurring consumables (70% gross margin); NIH-funding exposed

THE CENTRAL QUESTION

Is the market paying a spatial-growth multiple (~5x EV/sales) for a single-cell-decline reality — or correctly pricing a margin inflection plus spatial re-acceleration?

10x trades at ~$3.6B (≈$28/sh) — ~5x EV/sales on ~$600M revenue now flat-to-declining for three years. A dominant tools franchise: >7,900 instruments and ~85% recurring 70%-gross-margin consumables, net-cash and cash-generative after a 17% opex cut. The mature DCF asks whether revenue re-accelerates and margins convert to operating profit — against an NIH-funding shock and instrument-free rivals. The finding: the recent triple prices a spatial re-acceleration the base case (~3% grind) doesn't support — only the bull (~8%) approaches spot, the ultra-bull clears it.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$14.28 expected fair value today

-49.2% vs spot $28.11

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$22.37	$35.14	$55.39	$87.60
0.80× spot	1.25× spot	1.97× spot	3.12× spot

WEIGHTING RATIONALE

Ultra Bear 15% NIH cuts crush demand; revenue declines; ~$5.
Bear 30% Flat revenue, thin margins; dominant ex-growth; ~$8.
Base 33% Slow ~3% grind; margins recover; ~$14 (≈-50%).
Bull 17% Spatial re-accelerates to ~8%; ~$26 (≈spot).
Ultra Bull 5% Clinical spatial inflection; mid-teens; ~$43.

Bull (17%) + Ultra Bull (5%) together contribute $6.59 — 46% of the $14.28 expected value despite 22% combined probability. Today's spot ($28.11) sits 97% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$4.41	$8.19	$13.86	$26.06	$43.23
-84.3% vs spot	-70.9% vs spot	-50.7% vs spot	-7.3% vs spot	+53.8% vs spot
CAGR -3.6% WACC 12.5%	CAGR -0.4% WACC 11.0%	CAGR +2.6% WACC 9.5%	CAGR +8.0% WACC 8.5%	CAGR +11.7% WACC 8.0%
CAGR -3.6% Prob 15%	CAGR -0.4% Prob 30%	CAGR +2.6% Prob 33%	CAGR +8.0% Prob 17%	CAGR +11.7% Prob 5%
NIH cuts bite; revenue declines.	Stalled; flat revenue, thin margins.	Slow ~3% grind; margins recover.	Spatial re-accelerates the total.	Clinical spatial inflection.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

10x Genomics scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected $14.28 (-49.2% vs spot)

ULTRA BEAR — $4.41

-84.3% vs spot

Probability 15%

NIH cuts bite; revenue declines.

WHY 15%

The NIH funding shock is the dominant risk — ~25% of revenue is NIH-tied, instruments already fell 39%, and the academic market could shrink for years. 15% weight on a sustained decline.

WHAT HAPPENS

The NIH / academic funding shock deepens — the proposed ~40% NIH cut sticks, instrument placements stay frozen, and the single-cell consumables decline accelerates faster than spatial can offset. Revenue falls ~4%/yr toward ~$0.50B by FY30; the franchise shrinks.

Even net-cash and debt-free, a declining-revenue tools business earns a distressed multiple — the DCF lands near $5, ~80% below spot. The recurring consumables annuity erodes with the shrinking installed base.

BEAR — $8.19

-70.9% vs spot

Probability 30%

Stalled; flat revenue, thin margins.

WHY 30%

Spatial grows but can't offset single-cell erosion + the NIH drag; revenue stays flat. 30% weight — a very plausible 'dominant but ex-growth' outcome given the 3-year stall.

WHAT HAPPENS

Revenue stays roughly flat — the NIH drag offsets the Xenium spatial ramp, and single-cell erosion continues. 10x holds its dominant position but doesn't grow; margins recover only modestly on cost discipline.

A flat ~$0.6B-revenue franchise at a mid-single-digit FCF margin earns ~$8/share on the DCF — well below spot. 'Dominant, but ex-growth.'

BASE — $13.86

-50.7% vs spot

Probability 33%

Slow ~3% grind; margins recover.

WHY 33%

Guidance holds (0-4%), cost discipline converts to FCF, spatial roughly offsets single-cell. 33% as the central, modal outcome — consistent with consensus ~3.8% CAGR.

WHAT HAPPENS

The modal path: FY26 guidance holds (0-4% growth), spatial roughly offsets single-cell decline, and the 17% opex cut plus modest top-line growth converts the 70% gross margin toward a low-teens FCF margin — revenue ~$0.68B by FY30 at ~3% CAGR.

DCF ~$14/share — ~50% below spot. The franchise is real and finally profitable, but a 3%-grower at a low-teens FCF margin doesn't support ~5x EV/sales. The market is paying for a re-acceleration the base case doesn't deliver.

BULL — $26.06

-7.3% vs spot

Probability 17%

Spatial re-accelerates the total.

WHY 17%

Requires spatial (Xenium) to re-accelerate the TOTAL to ~8% AND NIH to stabilize AND operating leverage to land. Each plausible; jointly ~17%.

WHAT HAPPENS

The bull: Xenium spatial (and the ScaleBio instrument-free chemistry) re-accelerate the whole company to ~8% CAGR, NIH funding stabilizes, instrument placements resume, and operating leverage drives the FCF margin toward ~20% — revenue ~$0.88B by FY30.

DCF ~$26/share — roughly today's price. This is the scenario the recent triple is pricing; it requires spatial to actually move the total, not just grow within a flat mix.

ULTRA BULL — $43.23

+53.8% vs spot

Probability 5%

Clinical spatial inflection.

WHY 5%

Tail: spatial inflects into clinical/translational use + peak-tools margins. ~5% — the secular-platform thesis fully realized.

WHAT HAPPENS

The tail: spatial biology inflects from research into translational/clinical use, 10x's installed-base + IP moat compounds, and revenue reaches mid-teens CAGR (~$1.05B by FY30) at peak-tools margins (~27% FCF).

DCF ~$43/share — ~+54% above spot. The genuine 'secular-growth platform' outcome the bulls envision; ~5% probability.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

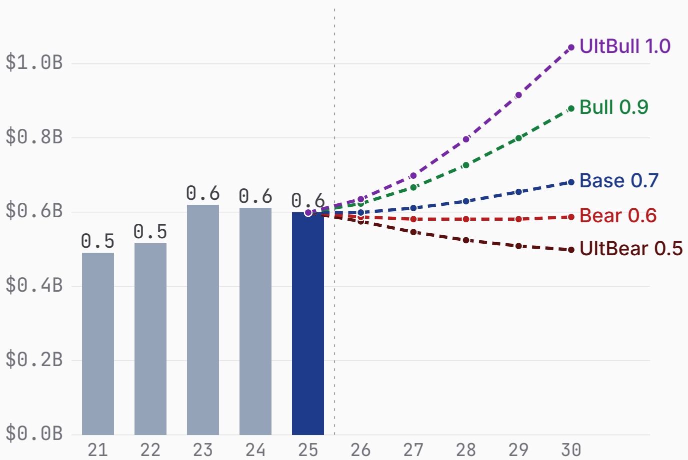
10x Genomics business snapshot

31 May 2026 · the snapshot

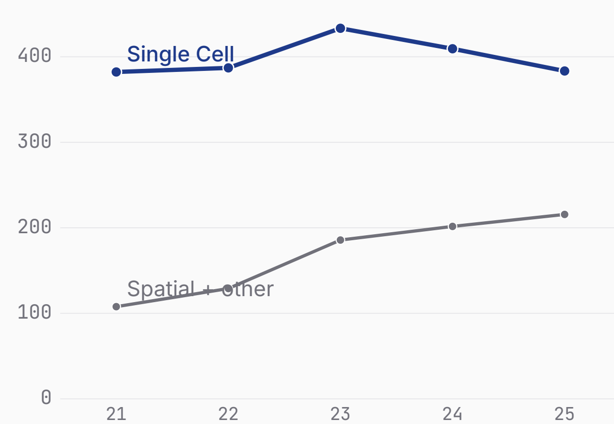
Bear $8.19 Base $13.86 Bull $26.06

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results

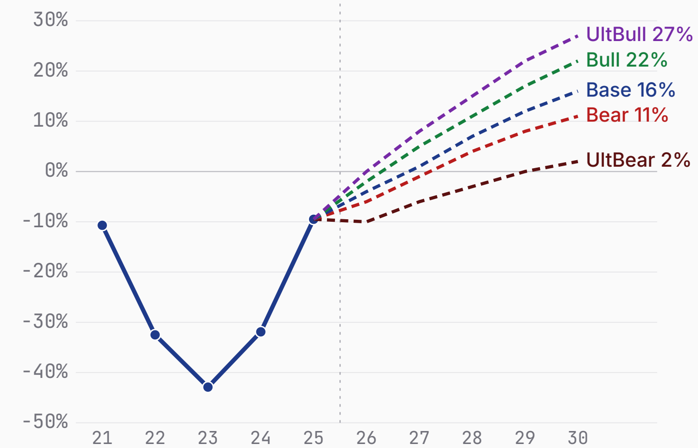
Revenue ($B) — history + scenarios to FY30



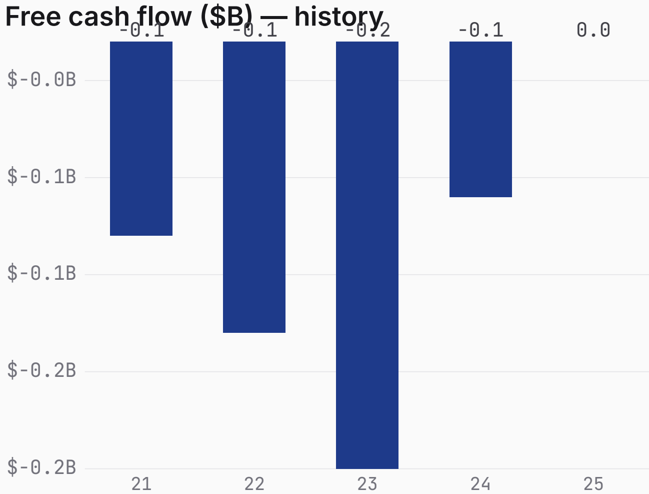
Revenue by segment ($M)



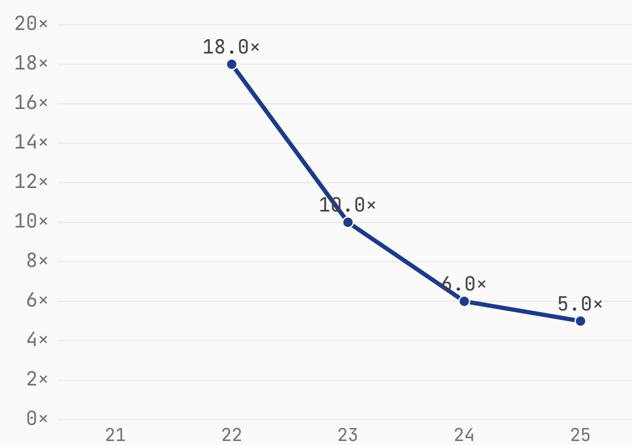
Op margin — history + scenarios



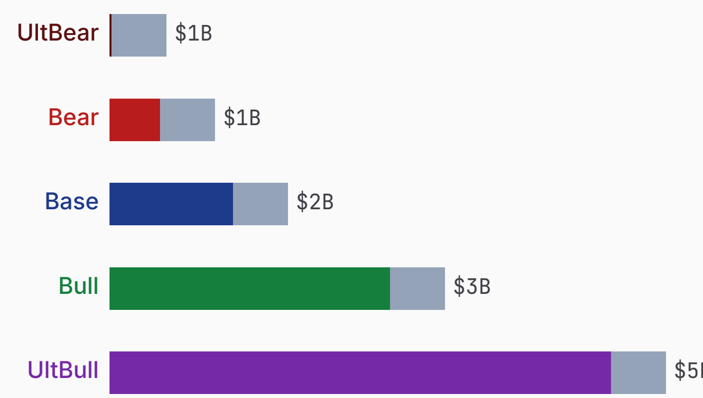
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: 10x Genomics Q1 2026 10-Q (net cash $0.54B), FY2025 results ($599M underlying revenue ex-litigation), segment + installed-base disclosures, patent-settlement filings. Revenue modeled as a growth-rate path off the FY25 base; FCF = revenue x FCF margin (mature framework, no dilution); terminal = Gordon at the scenario WACC. EV/sales context vs mature life-science-tools peers.

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31 May 2026 · the competitive landscape

10x Genomics 7 Powers · the moat, scored

Bear $8.19 Base $13.86 Bull $26.06

Arena. Single-cell + spatial biology tools — 10x Genomics (Chromium single-cell, Visium/Xenium spatial; ~85% recurring consumables) vs Illumina (sequencing platform, entering spatial), Bruker (CosMx/GeoMx ex-NanoString), Parse (instrument-free single-cell), Standard BioTools; defending a dominant tools franchise as growth stalls.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here (3/3)
Razor/blade installed base (>6,400 Chromium + >1,500 spatial instruments) → ~85% recurring high-margin consumables; the strongest, most durable Power.

Network Economies (1/3)
A published-protocol / citation network is mild; not a hard flywheel.

Counter-Positioning (1/3)
10x is the incumbent, not counter-positioned; instrument-free entrants (Parse) counter-position against its razor model.

Switching Costs (2/3)
Entrenched lab workflows, protocols, and data pipelines create real but not insurmountable lock-in.

Branding (2/3)
The 'gold standard' single-cell brand; strong in academia.

Cornered Resource (2/3)
Extensive droplet + in-situ patent estate (bankrupted NanoString; forces rivals to license) — durable on existing methods, but doesn't stop combinatorial-barcoding designs-around.

Process Power (2/3)
Manufacturing + assay learning curve; real but contestable.

PEER SET

Illumina — 3% gr · 20% mgn · ~5x sales
Sequencing platform 10x's reads run on; entering spatial; huge balance sheet. 10x is suing it over spatial/single-cell IP.

Bruker — 5% gr · 15% mgn · ~3x sales
CosMx/GeoMx (ex-NanoString) spatial imaging; settled & licenses 10x IP (pays $68M + royalties).

Parse Biosciences — · private
Instrument-free split-pool single-cell — removes the razor, undercuts Chromium. 10x won an ATAC injunction vs it.

Standard BioTools — 0% gr · ~2x sales
Fluidigm + Olink; multiomics-adjacent, consolidating.

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Instrument-free entrants (Parse; 10x's own ScaleBio chemistry)
falsifier: Single-cell consumables decline accelerates beyond -5%/yr as researchers adopt instrument-free workflows.

Scale Economies · NIH / academic funding cuts
falsifier: Instrument placements stay frozen (instruments < -20%/yr) for two more years, shrinking the future consumables annuity.

Cornered Resource · Illumina spatial entry + design-arounds
falsifier: Illumina or a combinatorial-barcoding rival takes material spatial share while 10x's IP suits stall.

COMPETITIVE READ

10x's Scale-Economies Power — a >7,900-instrument installed base throwing off ~85% recurring, 70%-margin consumables — is real and durable, and its IP estate bankrupted NanoString. But the Power is being audited in real time: single-cell consumables are declining, instrument placements are frozen by the NIH funding shock, and instrument-free entrants (Parse — and 10x's own ScaleBio acquisition) attack the razor model the annuity depends on. The market pays ~5x EV/sales for a spatial re-acceleration the base case doesn't yet support; the durability of the consumables annuity through the academic-funding shock is the falsifier the valuation rests on.

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31 May 2026 · the quantitative

10x Genomics show your work

Bear $8.19 Base $13.86 Bull $26.06 · Weighted $14.28 (-49.2%)

ULTRA BEAR $4.41

ASSUMPTIONS

5y revenue CAGR (%)	-3.6
Year-5 op margin (%)	2.0
WACC (%)	12.5
Terminal growth (%)	-1.0
5y revenue CAGR (%)	-3.6
Starting revenue ($B)	0.60
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.58	-10%	-0.02	-0.02
FY27	0.55	-6%	-0.01	-0.01
FY28	0.52	-3%	+0.00	+0.00
FY29	0.51	+0%	+0.01	+0.00
FY30	0.50	+2%	+0.01	+0.01

Σ PV explicit FCF	-0.02
+ PV terminal (g -1.0%)	0.04

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.02B
+ Cash & investments	$0.54B
= Equity value	$0.56B
FY30 shares (M)	127
= Expected per share	**$4.41**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$7.95	$14.32	$25.81	$46.50
0.28×	0.51×	0.92×	1.65×

BEAR $8.19

ASSUMPTIONS

5y revenue CAGR (%)	-0.4
Year-5 op margin (%)	11.0
WACC (%)	11.0
Terminal growth (%)	1.0
5y revenue CAGR (%)	-0.4
Starting revenue ($B)	0.60
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.59	-6%	+0.00	+0.00
FY27	0.58	-1%	+0.02	+0.01
FY28	0.58	+4%	+0.04	+0.03
FY29	0.58	+8%	+0.05	+0.03
FY30	0.59	+11%	+0.07	+0.04

Σ PV explicit FCF	+0.11
+ PV terminal (g 1.0%)	0.39

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.50B
+ Cash & investments	$0.54B
= Equity value	$1.04B
FY30 shares (M)	127
= Expected per share	**$8.19**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$13.80	$23.25	$39.19	$66.03
0.49×	0.83×	1.39×	2.35×

BASE $13.86

ASSUMPTIONS

5y revenue CAGR (%)	+2.6
Year-5 op margin (%)	16.0
WACC (%)	9.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+2.6
Starting revenue ($B)	0.60
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.60	-4%	+0.01	+0.01
FY27	0.61	+1%	+0.03	+0.03
FY28	0.63	+7%	+0.06	+0.04
FY29	0.65	+12%	+0.09	+0.06
FY30	0.68	+16%	+0.11	+0.07

Σ PV explicit FCF	+0.21
+ PV terminal (g 2.5%)	1.01

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.22B
+ Cash & investments	$0.54B
= Equity value	$1.76B
FY30 shares (M)	127
= Expected per share	**$13.86**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$21.82	$34.35	$54.07	$85.12
0.78×	1.22×	1.92×	3.03×

BULL $26.06

ASSUMPTIONS

5y revenue CAGR (%)	+8.0
Year-5 op margin (%)	22.0
WACC (%)	8.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+8.0
Starting revenue ($B)	0.60
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.62	-2%	+0.03	+0.02
FY27	0.67	+5%	+0.05	+0.04
FY28	0.73	+11%	+0.10	+0.07
FY29	0.80	+17%	+0.14	+0.10
FY30	0.88	+22%	+0.19	+0.13

Σ PV explicit FCF	+0.37
+ PV terminal (g 3.0%)	2.40

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.77B
+ Cash & investments	$0.54B
= Equity value	$3.31B
FY30 shares (M)	127
= Expected per share	**$26.06**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$39.19	$58.92	$88.60	$133.22
1.39×	2.10×	3.15×	4.74×

ULTRA BULL $43.23

ASSUMPTIONS

5y revenue CAGR (%)	+11.7
Year-5 op margin (%)	27.0
WACC (%)	8.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+11.7
Starting revenue ($B)	0.60
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.63	+0%	+0.04	+0.04
FY27	0.70	+8%	+0.08	+0.07
FY28	0.80	+15%	+0.13	+0.10
FY29	0.92	+22%	+0.20	+0.15
FY30	1.04	+27%	+0.28	+0.19

Σ PV explicit FCF	+0.54
+ PV terminal (g 3.5%)	4.41

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.95B
+ Cash & investments	$0.54B
= Equity value	$5.49B
FY30 shares (M)	127
= Expected per share	**$43.23**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$63.52	$93.33	$137.13	$201.49
2.26×	3.32×	4.88×	7.17×

10x Genomics supporting analysis · disclaimers · glossary

Bear $8.19 Base $13.86 Bull $26.06

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Razor/blade annuity is the moat.**
~85% of revenue is recurring 70%-gross-margin consumables off a >7,900-instrument installed base — a durable Scale-Economies Power.

2 **Net-cash, self-funding, no dilution.**
~$540M net cash, debt-free, and freshly cash-generative (+$26M op cash Q1'26) — no raise needed; failure risk negligible.

3 **IP estate bankrupted a competitor.**
10x's droplet/in-situ patents bankrupted NanoString and extract royalties from Bruker/Vizgen — a real cornered resource.

4 **Spatial (Xenium) is the growth engine.**
Spatial consumables +19%; Xenium Protein multiomics extends the lead — the re-acceleration optionality.

5 **Cost discipline already executed.**
A 17% opex cut + 8% headcount reduction collapsed the net loss from -$183M to -$44M; the operating leverage is in place if revenue grows.

FALSIFICATION TRIGGERS

Bull validation
total revenue growth re-accelerates >7% · spatial offsets single-cell decline · NIH / instrument placements recover · FCF margin > 15%

Bear validation
single-cell consumables decline accelerates < -5% · instruments stay frozen · NIH cuts bite · revenue flat-to-down through FY27

Reframe needed
if spatial biology inflects into clinical/translational use at scale, re-rate the growth path and terminal multiple toward a secular-platform level

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Chromium / single-cell — 10x's flagship single-cell platform; the legacy core — ~$386M revenue, slowly declining.

Visium / Xenium / spatial — 10x's spatial-biology platforms (in-situ + sequencing-based); the +19% growth engine.

Razor/blade (consumables) — Instruments (the razor) drive recurring consumable-reagent sales (the blade); ~85% of 10x revenue is recurring consumables.

NIH funding shock — ~25% of revenue is NIH-tied; proposed ~40% NIH cuts froze academic instrument purchases (-39% in FY25) — the dominant headwind.

FCF margin — Mature-DCF lever — the free-cash-flow margin the 70% gross margin converts to as revenue and operating leverage build.